

Topic 2.2 – Global Connections

“As the world becomes more interdependent, global governance, including global economic governance and the governance of the global commons, is increasingly relevant for achieving sustainable development.” – United Nations System Task Team

This topic allows learners to explore the processes and flows that occur at the global level, and the ways in which these influence people, places and institutions. Through **two** overarching themes of global systems and global governance learners will investigate how these shape relationships between citizens, states and organisations around the world.

Global systems, including those that regulate and order trade, financial transactions and migration, create interdependencies, which produce uneven geographies of winners and losers. States and non-state organisations respond to these flows and global systems, which can sometimes act to promote stability, growth and development,

but which can also be the cause of inequalities, conflicts and injustice.

Through case studies learners will build up a picture of how the world around them is shaped, the complexities associated with this and the resulting issues for people. Study will include the use of both quantitative and qualitative approaches across the global systems and global governance themes as a whole.

Study must enable learners to gain an understanding of the way in which global systems and global governance underlie their own and other people's lives across the globe. This understanding will vary depending on the situation and circumstance of the learner; fieldwork and research is encouraged where possible in support of this.

Learners must choose **one** of **Option A or B** within their study of Global Systems and **one** of **Options C or D** for their study of Global Governance.

2.2.1 Global Systems: Option A – Trade in the Contemporary World

1. What are the contemporary patterns of international trade?	
Key Ideas	Content
1.a. International trade involves flows of merchandise, services and capital which vary spatially.	• An understanding of the terms merchandise, services and capital as components of international trade. • Current spatial patterns in the direction and components of international trade, including examples of both inter-regional and intra-regional.
1.b. Current patterns of international trade are related to global patterns of socio-economic development.	• The relationship between patterns of international trade and socio-economic development using national indices, such as 'value of exports' and 'Human Development Index'. • How international trade can promote stability, growth and development within and between countries, through flows of people, money, ideas and technology. • How international trade causes inequalities, conflicts and injustices for people and places, through flows of people, money, ideas and technology.

2. Why has trade become increasingly complex?

Key Ideas	Content
2.a. Access to markets are influenced by a multitude of inter-related factors.	• International trade has increased connectivity due to changes in the 21st century, including: ◦ technology, transport and communications have increased connectivity of global supply chains ◦ increasing influence of MNCs in EDCs, including outsourcing ◦ role of regional trading blocs, such as the EU ◦ growth of 'south-south' trade, between developing countries ◦ growth of services in the global economy ◦ increasing labour mobility and new international division of labour.
2.b. There is interdependence between countries and their trading partners.	• Case study of one EDC to illustrate: ◦ direction and components of its current international trade patterns ◦ changes in its international trade patterns over time ◦ economic, political, social and environmental interdependence with trading partners ◦ impacts of trade on the EDC, including economic development, political stability and social equality.

3. What are the issues associated with unequal flows of international trade?

Key Ideas	Content
3.a. International trade creates opportunities and challenges which reflect unequal power relations between countries.	• Case study of one AC to show how core economies have a strong influence and drive change in the global trade system to their own advantage. Illustrate through economic, political and social factors to explain: ◦ its advantages for trade, including patterns, partners, negotiations and agreements ◦ opportunities, such as sustained economic growth ◦ challenges, such as trade deficit. • Case study of one LIDC to show how peripheral economies exert limited influence and can only respond to change in the global trade system. Illustrate this through economic, political and social factors to explain: ◦ trade components, including patterns, partners, negotiations and agreements ◦ why it has limited access to global markets ◦ opportunities, such as diversification of economic activity ◦ challenges, such as political instability.